

What Drives the Saving-Rate Divergence?

Debt composition and ultimate financing across the wealth distribution

Starting point: Figure 6 asks “why?”

Mian, Straub, and Sufi show that net saving rates rise steeply with wealth and that the profile becomes more unequal after 1982. Figure 6 compares the 1963–1982 and 1983–2019 averages; our exact-method reconstruction and its trailing five-year heatmap add the missing within-period timing. They show that the divergence is not a uniform secular shift: saving stays persistently high at the top, while the largest negative movements below the top are concentrated around the mid-2000s and the Great Recession. This motivates a mechanism question that the two long-period profiles cannot answer on their own.

The paper already establishes three essential facts. First, Figure 1 documents the rise of financial intermediation before 2008. Second, Table A2 shows that greater borrowing is the largest accounting component of the decline in saving below the top 1 percent. Third, Figure 8 unveils a widening net-lender position at the top against borrowing lower in the wealth distribution. These results connect rich saving to household debt in the aggregate, but they do not show which debt contracts produce the saving-rate change or whether the same mechanism operates before and after 2008.

Research question. Which debt instruments account for the decline in net saving rates below the top 1 percent, who ultimately finances each instrument after intermediary claims are unveiled, and how much of the pre-2008 divergence can be attributed to exogenous mortgage-credit expansion?

Measurement bridge

For wealth group g , debt category k , and signed liability balance $W_{gt}^{L,k} < 0$, define the write-down-adjusted active-saving contribution

$$\Theta_{gt}^{L,k} = W_{gt}^{L,k} - (1 + \pi_{gt}^{L,k})W_{g,t-1}^{L,k}, \quad s_{gt}^{L,k} = \frac{\Theta_{gt}^{L,k}}{Z_{gt}^d},$$

where $\pi_{gt}^{L,k}$ is the debt valuation factor and Z_{gt}^d is personal plus attributable corporate disposable income. Negative $\Theta_{gt}^{L,k}$ means active borrowing reduced measured saving. Summing $s_{gt}^{L,k}$ over debt categories, and then adding financial-asset and real-estate saving, must reproduce the exact Figure 6 rate. On the lender side, the same category is traced through the paper’s operator $\Omega_t^k = (I - Q_t)^{-1}B_t^k$ before subtracting group liabilities. This creates one auditable bridge from *which group borrowed which instrument* to *which group ultimately financed it*.

Relation to the paper and its broader mechanism

The proposal turns the paper’s accounting link into a debt-instrument-specific empirical design. It complements *Indebted Demand*, which provides a general-equilibrium mechanism connecting inequality, household debt, weak demand, and low interest rates, and the mortgage-credit literature of Mian and Sufi. It does not presume that greater financialization caused the saving-rate divergence; instead, it asks which balance-sheet conduit is quantitatively relevant before selecting a causal shock.

Mortgages Select the Pre-2008 Mechanism

February 2021 inputs, full Leontief unveiling, 1963–2016

The current implementation separates home mortgages from aggregate consumer credit for four wealth groups, applies the paper's group-specific write-down factors, and unveils each category from saved direct cells. No old seven-round output enters the calculation. The table reports selected groups to expose the top-lender/middle-borrower contrast; all entries are percentage points of aggregate national income.

Object and period	Debt category	Top 1%	Next 40%	Bottom 50%
<i>Change in liability stock, 1982–2007</i>				
	Home mortgages	+4.50	+23.63	+13.85
	Consumer credit	0.00	+2.92	+4.04
<i>Average annual contribution to active saving, 1998–2007</i>				
	Home mortgages	−0.43	−3.09	−2.28
	Consumer credit	−0.01	−0.73	−0.88
<i>Change in unveiled net position, 1982–2007</i>				
	Home mortgages	+8.69	−19.02	−13.73
	Consumer credit	+2.78	−3.46	−4.29

Motivating result. Mortgages dominate the 1982–2007 debt build-up, the 1998–2007 debt-related saving drag, and the widening lender–borrower split. The top 1 percent was already a net mortgage lender in 1982; its position widened rather than switching sign. The regime changes after 2008: for the bottom 99 percent, the average mortgage contribution moves from −6.36 in 1998–2007 to −0.16 in 2008–2016, while consumer credit moves only from −1.76 to −1.44. Thus mortgages select the primary pre-crisis mechanism, whereas post-crisis consumer credit requires a separate composition analysis.

Proposed research design

- 1. Close the measurement identity.** Re-express mortgage and consumer-credit contributions with each group's exact Figure 6 disposable-income denominator, retain the percentile bins, and verify that debt categories sum to total debt saving and that all asset classes recover the complete saving rate. This distinguishes a debt contribution from an explanation of the full rate.
- 2. Identify borrower incidence and contract type.** Use the Survey of Consumer Finances to split mortgages and home-equity loans from revolving, vehicle, student, installment, and other debt. Report participation and conditional balances by wealth and age, and repeat the analysis using gross-asset, focal-debt-excluded, or lagged rank so that debt does not mechanically determine the household's wealth group.
- 3. Estimate mechanisms by regime.** For 1982–2007, combine a validated policy or lender-exposure shock to mortgage credit with borrower outcomes and the category-specific unveiling map. For the post-2008 period, first determine whether student, vehicle, or revolving credit accounts for the residual before choosing a separate identification strategy. A single aggregate time-series regression would confound credit with house prices, interest rates, demographics, regulation, and inequality.

Novelty and evidentiary boundary

Debt composition by wealth and the pre-crisis mortgage boom are not themselves new facts. The contribution is the intersection: connecting category-specific borrower incidence to the exact Figure 6 saving-rate divergence and to Figure 8 ultimate ownership. The preliminary results establish accounting incidence, not that top saving caused loan origination, mortgage credit caused the full saving decline, or borrowing reduced welfare. Those claims remain outcomes for the proposed causal stage.

Generated from the verified debt-composition headline and period-summary tables.

Empirical producer: `build_debt_composition_extension.py`. Displayed values: `build_extension_proposal_assets.py`. The February 2021 authors' package is unchanged.